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Pakistan and the Eurasian Economic Union: From Feasibility Study to a Workable Trade Agenda

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SYNOPSIS

The Eurasian Economic Union (EAEU) brings together Russia, Kazakhstan, Belarus, Armenia and Kyrgyzstan, with a combined GDP of about US$2.6 trillion and a population of 183 million. For a decade, it has stayed at the edge of Pakistan's trade policy. In 2024, Pakistan exported US$355 million to the bloc and imported US$667 million.[1]

Data from the Eurasian Economic Commission (EEC) show this modest base shrinking further in 2025. Total turnover fell to about US$444 million. EAEU exports to Pakistan fell by almost three-quarters and Pakistani exports to the bloc by a quarter.[2]

Diplomacy, by contrast, has moved quickly. On 6 April 2026, Commerce Minister Jam Kamal Khan and EEC Trade Minister Andrey Slepnev agreed to form a joint feasibility study group, and the EEC Council approved it on 20 May. In August, Pakistan's Ambassador in Moscow, Faisal Niaz Tirmizi, said negotiations could take "several months or up to two years."[3]

This brief argues that a tariff deal on its own will not change these numbers. If payments cannot clear, goods cannot reach market on time and certificates are not recognised, a tariff cut is worth nothing. Pakistan should use the feasibility phase to fix these practical constraints. It should then negotiate a narrow interim agreement covering products it can actually sell, and widen it into a comprehensive FTA only once there is evidence of use. Section 6 sets out 15 practical recommendations and suggests indicators for tracking progress.

Why the EAEU Matters Now

Three developments in 2026 have turned the EAEU from a long-standing aspiration into a practical question of economic security.

1.1 Energy and fertiliser vulnerability exposed by the Hormuz crisis

More than 90 percent of Pakistan's imported LNG comes from Qatar, which leaves it fully exposed to the Strait of Hormuz. After the US–Iran conflict disrupted shipping from March

[1] Pakistan Business Council (PBC), Potential for a Free Trade Agreement between Pakistan and the Eurasian Economic Union (EAEU), Karachi, 2026.

[2] EEC data reported in A. Lapin, "Svobodnaya torgovlya s Pakistanom otkroet EAES novye rynki i logisticheskie marshruty" [Free trade with Pakistan will open new markets and logistics routes for the EAEU], TKS.ru, 6 August 2026.

[3] "EAEU pivots to Pakistan to deepen South Asia footprint," Business Recorder, 7 April 2026; Interfax, 20 May 2026; "Pakistan eyes free trade pact with Eurasian Economic Union," APP, 7 August 2026.

2026, LNG imports fell by 68 percent month-on-month. Coal rose to about 30 per cent of power generation, and two fertiliser plants were shut so their gas could go to the grid. Spot cargoes were bought at nearly US$22/MMBtu, against US$12–13 a year earlier.[4]

The EAEU is among the world's largest suppliers of hydrocarbons, wheat, nitrogen and potash fertiliser, and metals. It cannot replace the Gulf. It can, however, give Pakistan a second source for food and fertiliser, and for energy products that are not under sanctions.

1.2 Erosion of Pakistan's textile advantage in Europe

Negotiations on the EU–India FTA were concluded on 27 January 2026. Once it is signed, ratified, and phased in, Pakistan's GSP+ tariff margin of roughly 9–12 per cent over Indian textiles in its largest export market will disappear.[5]

Textiles and apparel account for more than half of Pakistan's merchandise exports (about US$17–18 billion in FY2026), so the country needs new markets where it can compete on tariffs. Here, too, India is ahead. India and the EAEU signed Terms of Reference for FTA negotiations in August 2025, held their first round in November 2025, and by May 2026 were discussing a limited interim agreement. If India secures preferential access to the EAEU first, Pakistan would face in Eurasia the same tariff disadvantage it now faces in Europe. Speed therefore matters.

1.3 Connectivity under strain

Pakistan's Central Asia strategy has long assumed a route through Afghanistan. The Torkham crossing has been largely closed since October 2025, and relations deteriorated further after the September 2026 airstrikes. The Uzbekistan–Afghanistan–Pakistan (UAP) railway remains at the feasibility stage with no construction financing, and its cost has been estimated at about US$7 billion.[6]

In April 2026, Pakistan opened six road transit routes to Iran (via Gabd and Taftan) under the Transit of Goods through Territory of Pakistan Order 2026, and the first Iran-routed shipment to Central Asia followed.[7]

An EAEU agreement can help turn this ad hoc western route into a lasting corridor that is less exposed to Afghan volatility.

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[4] Center for Strategic and International Studies (CSIS), "Pakistan's LNG Imports Under Pressure: Impacts of the Strait of Hormuz's Closure and Pakistan's Diplomatic Response," 26 August 2026.

[5] Pakistan Institute of Development Economics (PIDE), "The EU–India FTA and Pakistan's Export Competitiveness," Knowledge Brief No. 2026:147; on India–EAEU talks, PTI/ETV Bharat, 30 May 2026.

[6] Arab News Pakistan, "Pakistan proposes financing drive for railway to Uzbekistan through Afghanistan," 28 September 2026; Daryo, 19 June 2026; KabulNow, 9 August 2026.

[7] Al Jazeera, "Pakistan opens up road trade routes into Iran amid Hormuz blockade," 30 April 2026; bne IntelliNews, "Pakistan launches Iran transit corridor with first shipment to Central Asia," 2026.

State of Engagement

Table 1. Pakistan–EAEU engagement, 2024–2026

Date	Development
Oct 2024	First Pakistan–Russia barter contracts signed by private firms (rice, mandarins, potatoes, chickpeas and lentils), showing demand despite payment barriers.
6 April 2026	Jam Kamal Khan and Andrey Slepnev agree to establish a joint feasibility study group on a preferential trade regime. Pakistan frames cooperation as covering logistics, energy, digital trade and supply chains.
20 May 2026	EEC Council approves the joint research group to study the feasibility of an agreement with Pakistan.
5–7 Aug 2026	Ambassador Tirmizi tells TASS that Pakistan has "launched the process" of an FTA, that talks could take months to two years, and calls Pakistan a "natural partner" in the North–South Transport Corridor.
Dec 2026 (expected)	Prime Minister's official visit to Russia, postponed from March, now expected in early December; 8–10 agreements anticipated, including an Economic Roadmap to 2030.

Sources: Profit (2 October 2024); Business Recorder (7 April 2026); Interfax (20 May 2026); APP/TASS (7 August 2026); Daily Times (October 2026).

Two points need to be stated clearly. First, a **feasibility group is a study body, not a negotiating body**. Its report must be adopted, and the EEC Council must then grant a negotiating mandate. Second, official statements have used "PTA" and "FTA" almost interchangeably. They are different instruments:

- A **preferential (interim) agreement** cuts duties on a negotiated positive list of tariff lines. It can be concluded within 12–24 months and has limited domestic adjustment costs.
- A **comprehensive FTA** liberalises "substantially all trade" under GATT Article XXIV. It usually adds rules of origin, trade remedies, SPS and TBT chapters, and sometimes services and investment. Such agreements take years and create real winners and losers at home.

Sequencing is facilitated by the EAEU's own practice. In 2018, Iran signed an interim agreement, which became effective in October 2019, for a limited number of products and was granted a full FTA, which took effect in May 2025. The same applies to Mongolia, which on 22 July 2026 has ratified the EAEU-Mongolia interim trade agreement. It is now India that is

talking about a similar temporary agreement. This is the right course for Pakistan to take and the government should make this decision and inform the partners and business for this.

Assessing the Trade Potential

Table 2. Pakistan–EAEU merchandise trade (US$ million)

Flow	2024	2025	Change
Pakistan exports to EAEU	355	≈ 267	− 25%
EAEU exports to Pakistan	668	≈ 177	− 74%
Total turnover	≈ 1,022	≈ 444	− 57%

Sources: PBC (2024 figures); EEC data via TKS.ru, 6 August 2026 (2025 figures). Figures are from EAEU-side statistics and may differ from Pakistan Bureau of Statistics data.

These figures reveal three structural weaknesses:

- **Commodity dependence.** In 2024, almost all EAEU exports to Pakistan were wheat, pulses, nitrogen fertiliser and tractors. When Pakistan stopped importing wheat, the trade relationship collapsed. Trade driven by one-off government procurement does not last.
- **Narrow Pakistani export base.** Rice alone accounted for 42 per cent of Pakistani exports to the EAEU in 2025 (US$113 million), followed by apparel, leather, fruit (citrus, mangoes, dates) and potatoes.
- **Large untapped niches.** Pakistan exported about US$4.4 billion of bed and table linen worldwide in 2025 but only US$1.6 million to the EAEU. It exported about US$449 million of surgical and medical instruments worldwide but only US$6.6 million to the EAEU. These are Pakistan's most competitive products, and they barely reach the bloc.

The PBC estimates Pakistan's export potential under a comprehensive FTA at **more than US$9 billion a year**, over half of it in textiles and apparel. That is about 25 times current exports. The PBC itself notes that this assumes relevant global trade flows shift to this market, and that a realistic near-term capture is 10–15 per cent. Our calculation implies **US$0.9–1.35 billion**. This is three to four times current exports, a meaningful gain but far short of the headline figure. Policy communication should use the realistic range, not US$9 billion.

The import side needs the same caution. The PBC suggests EAEU producers could, in principle, meet almost all of Pakistan's needs for crude oil, natural gas, diesel, fertiliser, polymers and base metals. Supply capacity is not the same as competitive landed cost, reliable delivery or sanctions-safe sourcing, however. Pakistan ran a current account deficit of US$139

million in FY2026 and a sharply wider deficit of about US$874 million in the first quarter of FY2027 (July–September 2026).[8]

An agreement should therefore be designed to **build export capacity first**, not simply to cut the cost of imports.

The Binding Constraints

Consider a buyer in Almaty or Minsk and a citrus exporter in Sargodha who want to trade. Between the order and the delivery stand four obstacles, and none of them is a tariff.

4.1 Payments

Sanctions on Russia and Belarus make Pakistani banks, which depend on US-dollar correspondent relationships, unwilling to process related payments. Workarounds through Dubai, Hong Kong or informal channels are costly, slow and out of reach for most small exporters. The first barter contracts, signed by private firms in October 2024 under Pakistan's 2023 business-to-business barter mechanism, show both demand and how inadequate improvised solutions are. Any durable mechanism must be lawful, transparent and acceptable to correspondent banks. A channel that puts Pakistan's banking system or its GSP+ status at risk would cost far more than it earns.

4.2 Logistics

There is no integrated corridor for perishables. The Afghan route is not reliable; sea transport through the Gulf or Suez route takes 35- 45 days, and the new Iran road routes have not yet been proven commercially for use with Central Asian and Russian destinations. In the case of fruit, vegetables and pharmaceuticals, the delay equals spoilage and lost contracts.

4.3 Standards and market access

Many products need EAC conformity marking under the Customs Union technical regulations (TR CU). Food also requires SPS and veterinary clearance, and medicines need registration under the EAEU's unified pharmaceutical rules. Without mutual recognition of laboratories and certificates, each consignment can face new inspection. This is the main reason Pakistani surgical instruments and processed foods are almost absent from the market.

4.4 Domestic adjustment and external risk

Lower tariffs on EAEU steel, chemicals, polymers or machinery would put pressure on domestic producers and reduce customs revenue, which still matters for Pakistan's IMF-monitored fiscal framework. Pakistan must also manage how its two most important markets,

[8] State Bank of Pakistan data as reported by APP, "Current Account Balance records $139 million deficit in FY26," July 2026; Pk Revenue, "Pakistan's current account deficit widens to $874 million in 1QFY27," October 2026.

the EU and the US, perceive closer economic ties with Russia and Belarus. GSP+ compliance and sanctions awareness are preconditions for this agenda, not obstacles to it.

Table 3. Strategic options compared

Option	Advantages	Risks	Assessment
A. Status quo (study only)	No adjustment costs; no diplomatic exposure	Trade keeps shrinking; first-mover window lost to competitors	Not recommended
B. Comprehensive FTA now	Largest theoretical gains; strong political signal	Long negotiation; heavy import surge on industrial goods; revenue loss; unresolved payments make tariff cuts unusable	Premature
C. Interim PTA plus enablers, then FTA	Early results on priority lines; time to fix payments, transit and standards; follows the Iran precedent	Requires discipline in inter-ministerial coordination and monitoring	Recommended

Policy Recommendations

The recommendations below form a single package. Progress on tariffs is wasted without parallel progress on payments, transport and standards. They describe what should be done and how, and Table 4 suggests indicators for tracking progress.

1. **Choose a phased approach and state it clearly.** In the initial phase, a narrow interim (preferential) agreement should be considered, with a comprehensive FTA as a subsequent phase, which will be considered at a later stage once the first agreement is found to be effective. This option should be shared with the EEC and the Pakistani business community so that both parties are talking about the same thing and mutually agree on the choice and set reasonable expectations.
2. **Select products on evidence, not on hope.** The offensive list should be created by applying three tests: 1) whether the EAEU buyers actually import the product; 2) whether Pakistan is already competitive in the product on the international market; and 3) the degree to which an EAEU tariff reduction would enhance the competitiveness of Pakistan on the international market. Based on the available information, home textiles, knitwear and apparel, surgical instruments, rice, kinnow and mango, leather goods and sports goods are the most promising sectors. Exporters should be provided with a summary of the list for comment prior to its being tabled.

3. **Know the costs before making offers.** It is important to assess the likely loss of customs revenues and the vulnerability of exposed local industries (steel, chemicals, polymers, light engineering) before granting tariff concessions. Long phase-out periods or exclusion from the first agreement can then be used to protect sensitive products.
4. **Keep the negotiation coordinated and connected to business.** The discussions cover the issues of trade, banking, customs, plant protection, and drug regulation with all relevant agencies to work from one negotiating position, not in parallel. Exporters and industry associations need to be consulted regularly as they have an intimate knowledge of where the real barriers are.
5. **Build a lawful payment channel.** Partnership between Pakistan and the EAEU should be through settlement in local currencies (rupee–ruble, rupee–tenge) or yuan, with banks with limited exposure to correspondent banking networks of Western banks and after careful examination of the sanctions-compliance status. It is important that the clearing procedures are agreed between the central banks on both sides. The initial stage presents the simplest returns for trading with Kazakhstan, Kyrgyzstan and Armenia, where traditional banking is still possible.
6. **Make barter work as a stop-gap.** Few people have been using the barter mechanism for business-to-business transactions during 2023. It should be documented and have an expanded product list. Transparent pricing and settlement of bulk deals can be offered by commodity exchanges like the Belarusian Universal Commodity Exchange (BUCE).
7. **Lower the risk for small exporters.** Small and medium exporters should have access to export credit insurance for EAEU buyers, and written clarity on the type of products, buyers, and banks that are not subject to the risk of sanctions. This is a prerequisite for most companies to stay away, even if there are no tariffs in place.
8. **Prove the routes with real shipments.** Sampling of a small quantity of consignments of citrus during kinnow season, one textile product, and a pharmaceutical consignment should be sent from Karachi or Gwadar through Iran and Turkmenistan to Kazakhstan under TIR. There should be measured data and not projections for transit time, cost per container, border waiting time, and spoilage, which should be recorded and published, such that the negotiation is based on measured data.
9. **Reduce friction at borders along the route.** The facilitation arrangements for transit of goods with Iran, Turkmenistan and Kazakhstan should include the mutual recognition of TIR, electronic pre-arrival data, priority lanes for perishables, and cold-chain standards. Pakistan should also make a formal connection with the eastern leg of the International North–South Transport Corridor (INSTC).
10. **Treat the trans-Afghan railway as a long-term option.** The UAP railway should not be off the table, but any part of the trade deal hinges on financing, security and a credible construction timetable. In the interim, direct air-cargo connections can be used for high-

value, time-sensitive cargo including pharmaceuticals, surgical instruments and fresh fruit.

11. **Address standards before tariffs.** Pakistan should aim to negotiate early agreements on sanitary and phytosanitary requirements of two or three priority products (kinnow, mango, rice), recognition of selected laboratories in Pakistan for issuing certificates recognised in the EAEU and a swift track for registration of Pakistani medicines and medical devices. These measures may be more important to exporters than a cut in tariffs.
12. **Help exporters meet EAEU technical rules.** There are a lot of companies that don't know about EAC certification. Such a step as providing practical guidance, a contact point for exporters, and cost-sharing for their first certification would reduce the barriers to entry, particularly for small companies.
13. **Make imports predictable, not stop-go.** Pakistan should also consider medium-term supply deals in place of singular wheat or fertiliser deals, ensuring transparency in pricing while securing supplies of fertiliser, wheat (where necessary), LPG and non-sanctioned petroleum products. Coal import duty cut should be based on landed cost, supply reliability, and revenue loss, as suggested by PBC to have a duty cut from 11 per cent to 2–3 per cent. Projects that are sanctioned should be avoided.
14. **Link trade to investment.** Two forms of joint investment look promising: local assembly of EAEU-designed agricultural machinery, given that tractors already account for over 12 per cent of EAEU exports to Pakistan; and Pakistani investment in garment and home-textile units in Kyrgyzstan or Kazakhstan, which can supply the wider EAEU market where its rules of origin are met.
15. **Open the door to services gradually.** Pakistan's IT exports mainly focus on the markets of the USA and UK. Business-to-business trips to Astana Hub and Russian IT clusters and the facilitation of business visas for Russia and Belarus can create demand in advance of any commitments. The second phase should contain the services chapter and the investment chapter. The indicators in Table 4 indicate progress within the package.

Table 4. Monitoring framework: indicators against a 2025 baseline

Indicator	Baseline (2025)	Indicative target
Pakistani exports to EAEU	≈ US$267 million	US$900 million (lower bound of PBC realistic range)
Share of non-rice products in exports	≈ 58%	> 75%
Number of Pakistani firms exporting to EAEU	Baseline to be established by TDAP/FBR in 2027	+100% over baseline

Indicator	Baseline (2025)	Indicative target
Average transit time, Karachi/Gwadar to Almaty	To be measured in pilots	≤ 20 days by road
Share of EAEU payments settled through formal channels	Low (not measured)	Majority of recorded trade
SPS / EAC approvals secured for priority products	Limited	At least 5 product protocols
Customs revenue forgone	—	Reported annually against projections

Regular public reporting against these indicators would help keep the process accountable and show exporters whether the agreement is working.

Conclusion

The EAEU opportunity exists, but it is a long and practical process; payment channels, transit routes, and certification have to be established step by step. It can't be done with a single tariff agreement. The $9 billion is a theoretical figure, and not what Pakistan can hope for. There are some benefits Pakistan has: firstly, the EAEU is looking for a partnership that can expand its reach to the South Asian region, and secondly, there is an obvious precedent in the Iran interim deal. It also has strong pressure to act fast: The Hormuz disruption, the EU–India FTA, and India's own negotiations with the EAEU. The first step is to select the type of agreement, then the payments, then to demonstrate the routes, then to obtain the recognition of standards, then to draw up a narrow interim agreement, and then broaden it as exporters operate it. If done in this sequence, it can help Pakistan diversify its trading partners, strengthen supply chains, and increase its export opportunities.